INVESTMENT POLICY STATEMENT

Rossi Family

Version 3.1 - Final model policy | 14 October 2026

CLIENT & INVESTMENT PROFILE			
Client	Rossi Family - fictional HNW model case	**Base currency**	EUR
Tax residence	Italy; prior UK residence	**Family**	Couple 55/54; children 25/23
Reference net worth	€20m planning baseline	**Net direct real estate**	~€4.661m
Public-markets mandate	€5.0m original capital; current NAV reported live	**Alternatives reserve**	€5.0m; future private-markets mandate
Separate liquidity	~€1.38m across Tier 1-3; outside public sleeve	**Liquidity need from sleeve**	Low
Investment horizon	10+ years; multi-decade / intergenerational	**Primary objective**	Real capital growth + family wealth preservation
Risk capacity	VERY HIGH	**Risk tolerance**	HIGH
Risk requirement	MODERATE	**Portfolio risk profile**	GROWTH / HIGH
Income requirement	Low; total-return-led	**Review framework**	Quarterly monitoring; annual strategic review
Strategic policy	**65% strategic equity | 26% fixed income | 7% gold | 1% Bitcoin | 1% tactical opportunities**		

POLICY STATUS

Final model policy for the fictional Rossi Family case study.

This document governs the liquid public-markets sleeve. It is designed to explain the client context, target allocation, implementation logic, risk limits and governance rules. Market values, performance and current weights are live reporting outputs and may differ from policy targets.

MODEL CASE DISCLAIMER

Illustrative fictional client case for portfolio-design and wealth-management demonstration. Not investment, tax or legal advice; not verified client or custody records.

1. Client mandate and family balance sheet

The public portfolio is one sleeve of a broader HNW family balance sheet and must be managed in that context.

Component	Planning amount	% of net worth	Role
Separate liquidity reserve	€1.38m	6.9%	Operating liquidity and 24-36+ month reserve
Net direct real estate	€4.661m	23.3%	Italian residential / rental / family property exposure
Public-markets portfolio	€5.00m initial capital	25.0%	Liquid long-term growth and rebalancing sleeve
Alternatives reserve	€5.00m	25.0%	Future private-markets mandate; not yet allocated
Wealth-planning / protection capital	€3.959m	19.8%	Earmarked for succession, protection and structuring
Reference net worth	€20.00m	100.0%	Model balance-sheet reference

Client profile. Married couple, ages approximately 55 and 54, with two adult children. Base currency is EUR; tax residence is Italy (Sardinia) following prior UK residence. The investment horizon is 10+ years, with a material portion intended to remain invested on an intergenerational basis.

Cash-flow context. Family expenditure, children support, property costs and debt service are funded primarily from the separate liquidity framework and recurring income. The €5m public-markets sleeve is therefore not designed as an emergency-cash pool or as the primary source of near-term spending.

Liability context. The family retains a modest fixed-rate mortgage on the Sardinia residence. The planning preference is to repay it over the coming years without compromising the liquidity reserve or forcing sales of risk assets during adverse markets.

MANDATE OBJECTIVE

Preserve and compound family wealth in real terms over a multi-decade horizon.

Keep the public portfolio liquid, transparent and rebalancable, particularly because real estate and future private markets are less liquid.

Avoid unnecessary concentration, product overlap, performance chasing and tactical risk that is large enough to threaten the family plan.

2. Investment objectives and philosophy

Return objective. Seek market-linked long-term growth above inflation without relying on discretionary stock-picking alpha as a base-case assumption. The portfolio is judged on total return, risk-adjusted outcomes, diversification and adherence to policy rather than on outperforming a single equity index every year.

Core philosophy. Broad, low-cost index exposure forms the strategic equity core. Factor strategies are deliberately limited satellites. Fixed income is built by function - sovereign duration, credit carry and currency discipline - rather than by a generic 60/40 template.

- Use UCITS funds/ETFs and transparent listed instruments where practical; prefer physical replication when it offers a clean implementation.
- Avoid redundant combinations such as MSCI World + S&P 500 + Nasdaq when they simply re-own the same mega-cap exposure.
- Use individual sovereign bonds when defined maturity and contractual cash flows add value; use funds where diversified direct ownership would be inefficient.
- Maintain gold as a strategic diversifier; keep Bitcoin and thematic/tactical risk deliberately small.
- No strategic high-yield allocation, dedicated listed real-estate overweight or broad-commodity allocation in the public sleeve.
- Use cash flows and natural maturities to rebalance before selling strategic assets where practical.

3. Strategic Asset Allocation

Policy targets are based on the original €5.0m public-markets funding reference. Current market values and weights are reported separately and are expected to drift with performance.

Allocation	Target	Target capital	Strategic role
Strategic Equity Core	55%	€2.750m	Global market beta with explicit geographic control
Equity Factor Satellites	10%	€0.500m	Value, Momentum, Small Value/Profitability
Fixed Income	26%	€1.300m	Direct sovereign curve + EUR and USD IG corporate credit
Gold	7%	€0.350m	Strategic monetary / crisis diversifier
Bitcoin	1%	€0.050m	High-risk strategic satellite / asymmetric optionality
Tactical Opportunities	1% max	€0.050m max	Current: quantum computing; not a permanent asset class
TOTAL	100%	€5.000m	

Economic risk note. The tactical sleeve may itself be equity-like. With the current quantum-computing position, economic equity sensitivity can therefore be modestly higher than the 65% strategic-equity target. This does not change the permanent SAA; it is controlled through the 1% tactical hard cap.

4. Portfolio construction and implementation

Equities - 65% strategic

The 55% core separates the equity world into USA, developed ex-USA and emerging markets. This preserves transparent control of geographic weights while avoiding overlapping US index products. The 10% factor sleeve adds systematic tilts rather than discretionary security selection.

Equity sleeve	Target	Approach	Role / rationale
US broad equity	30%	MSCI USA	Primary developed-market growth engine; no separate Nasdaq/S&P 500 overlay
Developed ex-USA	17%	MSCI World ex USA	Japan, Europe, Canada, Australia and other developed markets
Emerging markets	8%	MSCI EM IMI	Broad EM exposure including large/mid/small investable universe
Value	3%	Systematic factor	Valuation premium; may underperform for prolonged periods
Momentum	3%	Systematic factor	Trend persistence; accepts higher turnover and reversal risk
Small Value + Profitability	4%	Systematic active factor	Small-cap exposure with valuation/profitability discipline

Fixed income - 26%

Fixed income is not treated as a single defensive block. The sovereign portfolio deliberately spans approximately 5-, 10- and 30-year maturities, while corporate credit is diversified across euro-denominated investment grade and US-dollar corporate credit hedged back to EUR.

Fixed-income sleeve	Target	Implementation	Role
Direct sovereign - ~5Y	4%	Germany + France	Shorter-duration carry and defensive anchor
Direct sovereign - ~10Y	5%	Germany + Spain + US Treasury	Intermediate duration, carry and geographic diversification
Direct sovereign - ~30Y	5%	Germany + Italy	Long-duration exposure capped at 5% of NAV
EUR Corporate IG ETF	6%	Broad EUR corporate index	Diversified investment-grade credit carry
USD Corporate IG ETF, EUR hedged	6%	Broad USD corporate index	US corporate credit premium without adding material FX risk

Currency policy. Strategic equities remain predominantly unhedged. US corporate bonds are hedged to EUR because the sleeve is intended to earn credit carry rather than take a second, unrelated FX bet. The direct US Treasury position is intentionally small and unhedged, and total unhedged non-EUR fixed income is capped.

Diversifiers & tactical assets - 9%

Gold is a permanent diversifier rather than a return engine. Bitcoin is capped at 1% as a high-volatility asymmetric satellite. The 1% tactical sleeve is explicitly non-strategic: the current quantum-computing exposure may be closed or replaced when the investment thesis changes, without rewriting the long-term asset allocation.

5. Risk framework and suitability

The policy distinguishes the client's ability to bear risk from the amount of risk required to meet objectives.

Dimension	Assessment	Policy interpretation
Risk capacity	VERY HIGH	Large diversified balance sheet, separate liquidity, long horizon, no forced spending need from the public sleeve
Risk tolerance	HIGH	Client is prepared to maintain or add risk through substantial temporary market drawdowns
Risk requirement	MODERATE	The family already has sufficient capital; maximum possible risk is not required to meet the plan
Portfolio risk profile	GROWTH / HIGH	65% strategic equities plus small high-volatility satellites; balanced by 26% fixed income and 7% gold

DRAWDOWN TOLERANCE ASSUMPTION

Suitability assumes the family can tolerate a severe temporary public-portfolio drawdown in the 30-40% range without forced selling or abandoning the policy.

Such a drawdown is not a target or forecast. It is a behavioural and liquidity constraint used to test whether the strategic risk level is sustainable.

Risk source	Level	Control / interpretation
Equity market risk	High	65% strategic equity is the dominant risk driver; factor sleeves can amplify tracking error.
Factor risk	Medium-High	Value, Momentum and Small Value may lag broad markets for years; no short-term abandonment rule.
Duration / real-rate risk	Medium	5% of NAV is long sovereign >20Y; long bonds can fall sharply when yields rise.
Sovereign spread risk	Medium	France, Spain and Italy carry more spread risk than Germany; position sizes are diversified and capped.
Credit-spread risk	Medium	12% investment-grade corporate credit can lose value during recessions or spread widening.
FX risk	Medium	Global equities are largely unhedged; USD corporate credit is hedged to EUR; unhedged FI exposure is capped.
Gold risk	Medium	No cash flow; can experience long periods of underperformance despite diversification role.
Bitcoin / tactical risk	Very High	Extreme volatility and permanent-loss risk controlled through strict 1% position sizing.

Policy stress lenses

Scenario	Primary vulnerabilities	Expected portfolio stabilisers
Global equity bear market	Core equities, factors, Bitcoin, tactical theme	High-quality sovereigns, liquidity outside the sleeve, potential gold diversification
Inflation / rates shock	30Y bonds, growth equities, corporate duration	Shorter 5Y holdings, floating/overnight family liquidity, gold may diversify
Recession / disinflation	Equities and corporate spreads	German sovereign duration; liquidity reserve prevents forced sales
Euro sovereign stress	France, Spain, Italy spreads	Germany, US Treasury exposure, global equity diversification
USD weakness vs EUR	Unhedged US/global equity and US Treasury valuations in EUR	EUR liabilities; USD corporate sleeve is explicitly EUR-hedged

6. Policy limits, rebalancing and governance

Constraint	Policy target	Limit / rule
Strategic equity	65%	60-70% total equity monitoring range
Equity factors	10%	8-12%; no factor added solely because of recent performance
Fixed income	26%	22-30% monitoring range
Long sovereign >20Y	5%	Hard cap 5% of public NAV
Unhedged non-EUR fixed income	2% current	Hard cap 3%
High yield	0%	No strategic allocation
Gold	7%	5-9% monitoring range
Bitcoin	1%	Hard cap 1.5%
Tactical opportunities	0-1%	Hard cap 1%; thesis and exit condition required
Emergency / family cash	Outside €5m	No double counting with public portfolio

Rebalancing. The portfolio is reviewed quarterly and formally at least annually. A position moving away from target does not automatically trigger a trade. Rebalancing uses new cash flows, bond maturities, distributions and tax-aware trading before forced sales. Tactical positions are not mechanically rebalanced back to 1%; they are reviewed against their thesis.

Governance. Any structural change to strategic weights requires an IPS review. Tactical changes within the 1% sleeve do not require a full SAA rewrite but must record the entry thesis, risk budget, exit condition and realised outcome. Product-level substitutions are permitted when they preserve the same economic role and improve cost, liquidity, implementation quality or tax suitability.

Benchmarking. Performance is evaluated against a policy benchmark reflecting the strategic weights, not against the S&P 500 alone. Tactical positions are assessed on an absolute-return/thesis basis, with unused tactical capital benchmarked against a short-term EUR cash hurdle.

7. Liquidity, alternatives and wealth-planning perimeter

Liquidity tier	Policy amount	Implementation	Purpose
Tier 1 - Operational cash	€460k	Current accounts / remunerated deposits	Immediate access; day-to-day and first-line reserve
Tier 2 - Immediate liquidity	€460k	Xtrackers II EUR Overnight Rate Swap UCITS ETF 1C (XEON)	Overnight-rate exposure; minimal duration
Tier 3 - Strategic liquidity	€460k	iShares € Govt Bond 1-3yr UCITS ETF EUR (Acc)	Short sovereign duration for 24-36+ month reserve
TOTAL	€1.38m		Separate from the €5m public-markets sleeve

Alternatives reserve. €5.0m is reserved for a separate alternatives program. The current IPS does not assume that this capital is already invested or generating returns. Future implementation may include private equity, private credit, infrastructure/real assets and diversifying private-market strategies, subject to a separate pacing, commitment, liquidity and manager-selection framework.

Wealth-planning capital. Approximately €3.959m is earmarked for succession, protection and ownership structuring. Trusts, holding structures, insurance or other solutions are legal/ownership wrappers rather than asset classes; underlying assets must not be double counted in the family balance sheet.

Tax and legal implementation. Italian tax residence, prior UK residence, succession planning and any special tax regime are handled in the dedicated tax/wealth-planning workstream. Product domicile, custody, realised gains/losses and inheritance consequences must be validated before implementation changes.